

Higher-for-Longer Meets AI Credit Stress

A comprehensive whitepaper and trading playbook based on the Hormuz - Fed - private credit thesis inferred from the linked short

Abstract

This report tests a viral macro-credit claim: that a Strait of Hormuz shock removed the Federal Reserve's last reason to cut, intensified pressure on floating-rate borrowers, and exposed fault lines in software-heavy private credit. The conclusion is nuanced: the thesis is directionally grounded, but the most defensible version is a regime-shift call - higher-for-longer policy pricing, wider spreads, and selective stress in software and private-credit proxies - rather than a literal prediction of immediate financial-system collapse.

Prepared	Public-source synthesis as of April 5, 2026
Source scope	Federal Reserve, EIA, BIS, Reuters, historical Fed and BIS materials

Important framing

This is educational market research, not individualized investment advice. The playbook is intentionally written around liquid, risk-definable expressions rather than direct trading in illiquid private assets. The topic itself was inferred from the linked short's thumbnail and matching public cross-post snippets because the short could not be fetched directly in this environment. [1]

Linked subject reference: <https://youtube.com/shorts/22yE2-1CVfo>

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How to use this document

Sections 1 through 8 build the research case. Section 9 turns that case into executable trade modules. Sections 10 and 11 explain how to monitor and manage the regime in practice. If you only need the operational core, start with the scenario framework and the trading playbook.

1. Executive summary

- The viral thesis is directionally right, but the strongest defensible version is a regime-shift thesis, not a clean 'system collapse' call. The likely path is fewer near-term Fed cuts, tighter financial conditions, wider spreads, and pressure on floating-rate software borrowers. [2][3][4][5][6]
- Hormuz matters because it is a genuine energy chokepoint: roughly 20 million barrels per day of petroleum liquids and about one-fifth of global LNG trade moved through it in 2024. Even partial disruption can alter inflation expectations and policy pricing fast. [5]
- As of the March 18, 2026 FOMC meeting the Fed kept rates at 3.5%-3.75%, said inflation remained somewhat elevated, and acknowledged uncertainty from the Middle East. Strong March payrolls and a 4.3% unemployment rate made the market less confident that cuts were imminent. [2][3][4][7]
- Private credit is the key transmission channel because the asset class is large, increasingly tied to banks, and dominated by floating-rate loans with limited hedging. Fitch put the U.S. private-credit default rate at a record 9.2% in 2025. [8][9][10][14]
- Software and SaaS are the vulnerable node. BIS and Reuters reporting show direct lending to SaaS scaled dramatically by end-2025, software credits were a meaningful share of direct loans and BDC books, and AI disruption is pressuring the exact revenue assumptions many loans were underwritten on. [10][11][12][13]
- Redemption caps and withdrawal limits have appeared across multiple large private-credit vehicles, but policymakers have not yet described the sector as systemically destabilizing. Base case: episodic stress and slower growth, not a 2008-style immediate insolvency event. [13][15][20]

- The best trading expressions are liquid and modular: front-end rates for fewer cuts, energy versus long-duration growth, quality over lower-quality cyclicals, and selective underweight or short exposure to listed proxies for software-heavy credit stress. A rapid de-escalation headline is the most dangerous short-term risk to the thesis. [6] [19]

Bottom line

The strongest version of the thesis is: 'a geopolitically-driven energy shock can keep policy tighter for longer, and that tighter path can reprice software-heavy private credit and its public proxies.' That is a much stronger research claim than 'everything is about to collapse.'

2. Claim audit: what survives scrutiny

Topic inference note. The linked YouTube Short could not be fetched directly in this environment, so the subject was inferred from the thumbnail text ('lost its last excuse to cut') and matching public cross-post snippets describing a chain from a Strait of Hormuz shock to fewer Fed cuts, pressure on floating-rate borrowers, AI stress on software revenue, and private-credit redemption caps. [1]

Claim	Verdict	What the evidence says	Trading meaning	Confidence
Hormuz/oil shock removes a key reason for the Fed to cut.	Partly supported	An energy shock raises inflation risk and reduces the odds of near-term easing, but 'no excuse to cut' is too absolute. Labor data, inflation prints, and growth conditions still matter. [2][3][4][7]	Treat this as a repricing-of-cuts trade, not a promise that the Fed can never ease.	High
Floating-rate borrowers are getting squeezed.	Supported	Most private-credit loans are senior secured and floating-rate, often with limited hedging. Elevated rates directly hit interest coverage and cash flow. Defaults already rose to a record 9.2% in 2025. [8] [9]	Credit pain can emerge without an immediate recession.	High
AI threatens software revenue and loan performance.	Supported	Software and SaaS are heavily represented in leveraged loans and direct lending. AI is challenging pricing power, product moats, and public multiples, which undermines refinancing conditions. [10][11][12]	The weaker software names are the stress amplifier inside the thesis.	Medium-high

Claim	Verdict	What the evidence says	Trading meaning	Confidence
Private-credit managers are gating redemptions across the board.	Directionally supported but overstated	Multiple large vehicles have limited withdrawals or hit redemption caps, but not every manager or fund has done so. [12] [20]	Watch listed proxies, BDC discounts, and funding terms for stress signals rather than assuming universal gating.	Medium
This setup implies an imminent full-system collapse.	Not supported	Officials say they are watching the sector but do not currently see a broader systemic event. The likelier path is a slow-burn repricing with pockets of forced selling and weaker returns. [13] [15]	Position for wider spreads and dispersion first; only escalate to crisis framing if bank, insurer, or funding transmission broadens.	Medium-high

3. The macro transmission chain

The linked short is really making a chain argument, not a single-asset call. The first link is a supply-side energy shock. The Strait of Hormuz is one of the most important chokepoints in the world energy system, so any credible threat to throughput can move crude, LNG, freight assumptions, and inflation expectations quickly. [5]

The second link is policy repricing. When oil is moving higher because of geopolitics rather than booming demand, central banks face a bind. Growth may eventually slow, but the first market reaction is often to ask whether inflation will stay too sticky for a fast easing cycle. That is exactly why a Hormuz shock matters for front-end rates, breakevens, and long-duration equity multiples. [2][3][6][7]

The third link is the tightening of financial conditions that follows. Higher front-end yields change discount rates immediately, but they also increase the coupon burden on floating-rate borrowers. The whitepaper's core judgment is that the rates leg and the credit leg should be thought about together. This is not merely 'long oil'; it is a macro-credit transmission regime in which oil changes the policy path and the policy path changes borrower survivability. [8][9]

Figure 1. Macro-to-credit transmission chain

How a Hormuz shock can migrate into rates, software credit, and listed private-credit proxies

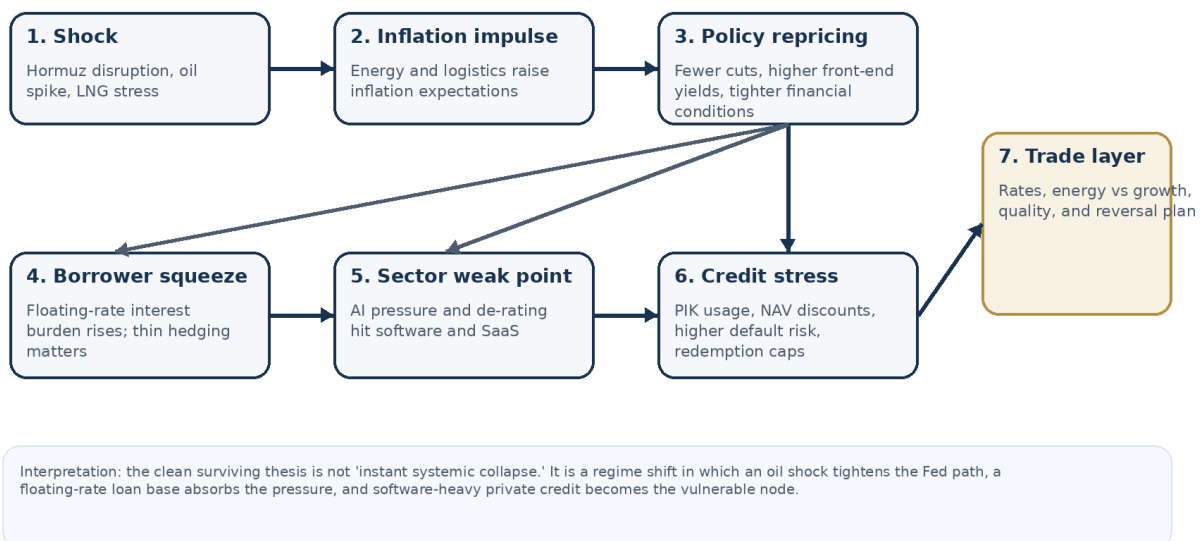


Figure 1. The clean surviving thesis is a transmission chain from energy shock to policy repricing to credit stress.

Current regime snapshot

Factor	Latest public evidence	Why it matters	Market lens
Hormuz chokepoint	About 20 million bpd of petroleum liquids and around 20% of global LNG trade moved through the Strait in 2024. [5]	This is large enough to matter for inflation and global growth very quickly.	Macro regime variable, not just an oil headline.
Oil market repricing	Brent closed around \$109 on April 2; JPMorgan warned near-term \$120-\$130 and possibly above \$150 if disruption persists. [6]	Higher oil tightens the Fed path and hurts risk assets unevenly.	Best for energy and fewer-cuts trades; dangerous for long-duration growth.
Fed stance	FOMC held at 3.5%-3.75% on Mar. 18; projections pointed to 3.4% end-2026 and 3.1% end-2027. [2][3]	Policy is not restrictive enough to ignore inflation risk, but not loose enough to rescue weak credits.	Higher-for-longer is plausible even without additional hikes.
Labor resilience	March payrolls rose 178,000 and unemployment was 4.3%. Reuters described the report as reinforcing a Fed on hold. [4]	A resilient labor market delays the 'growth scare rescue' part of the cycle.	Keep the front-end on watch.
Private-credit scale	Private credit now exceeds \$2 trillion globally and was about 30% of U.S. leveraged finance in 2025. [10][13]	Large enough to affect funding conditions and listed proxies even if the vehicles themselves are not exchange-traded.	This is a market structure story, not a niche anecdote.
Default pressure	Fitch said the U.S. private-credit default rate hit a record 9.2% in 2025, up from 8.1% in 2024. [9]	Stress is already real before any new oil shock fully feeds through.	Supports a selective bearish credit stance.

Factor	Latest public evidence	Why it matters	Market lens
Software concentration	BIS found SaaS direct lending grew from roughly \$8 billion in 2015 to more than \$500 billion by end-2025, or 19% of total direct loans. [10]	One sector has become an unusually important weak point.	Concentration amplifies dispersion and idiosyncratic blowups.
Redemption caps	Reuters documented withdrawal limits at multiple large private-credit vehicles; listed BDCs have also shown PIK reliance and discounts to NAV. [12][20]	Liquidity terms matter more when marks, refinancing, and funding costs all worsen together.	Use public proxies rather than illiquid direct expressions.

4. The credit transmission channel

Private credit is a better transmission channel than many traders assume. Federal Reserve analysis describes the typical loan as senior secured and floating-rate, which sounds safer than unsecured high yield until one remembers that the coupon resets upward almost automatically when policy stays tight. [8]

The private-credit ecosystem is also more connected to the public system than the marketing language suggests. The Fed and Reuters both note growing interconnections through bank lines, back leverage, and BDC structures. Banks had nearly \$300 billion of lending to private-credit providers by mid-2025, and some financing costs have already widened materially. [8][14]

That does not automatically produce a crisis. It does mean that a deterioration in marks, exits, or financing conditions can migrate into listed proxies, bank earnings sensitivity, and tighter lending standards even if the loans themselves remain in private wrappers. The relevant question for a trader is not 'will private credit vanish?' but 'which listed assets reprice first when the private stack becomes less forgiving?' [13][14][15]

Fast versus slow transmission

Channel	What moves when
Fast channels	Oil and LNG prices, front-end yields, Fed funds futures, dollar strength, software equity de-rating, and BDC discounts to NAV can all move within hours or days.
Medium-speed channels	SPV financing terms for private-credit funds, secondary-market loan prices, PIK usage, and analyst downgrades usually move over weeks.
Slow-burn channels	Refinancing trouble, covenant stress, formal defaults, restructurings, and markdown cycles often emerge over quarters rather than days. The slow speed is one reason the thesis is tradable as dispersion before it is visible as bankruptcy headlines.
False-positive risk	Because direct lenders can amend terms, add PIK, and postpone pain, public markets sometimes overreact early. That is why execution should favor staged entries and liquid hedges rather than one-shot all-in shorts.

Why this matters for traders

Private credit does not need to become exchange-traded to matter. It only needs to alter financing terms, public marks, or earnings expectations in the listed assets that interact with it.

5. Why software and SaaS are the weak point

Software is the weak point because three pressures are colliding at once. First, many software loans were underwritten on recurring-revenue, high-margin, low-churn assumptions. Second, public software multiples have already de-rated as rates stayed elevated. Third, AI is forcing a reassessment of product differentiation and pricing power in exactly the cohort that had attracted aggressive direct lending. [10][11][12]

BIS data are striking here: direct lending to SaaS rose from roughly \$8 billion in 2015 to more than \$500 billion by end-2025, with SaaS representing about 19% of total direct loans. BIS also found that about one-third of private-credit funds had lent to SaaS firms, and BDCs extended more than 15% of their loans to the sector in 2025. [10]

Reuters reporting adds the public-market angle. Software and tech borrowers make up a much bigger share of leveraged loans than of high-yield bonds, and roughly half of software loans were rated B- or lower. One-third or more of agreements to software borrowers included PIK options by end-2025, which helps defer immediate cash stress but can also hide a worsening solvency path. [11][12]

A key nuance: this is not necessarily an instant maturity wall. Reuters also noted that only a small share of software loans mature this year and 2027 carries a larger rollover burden. That matters because it supports a slow-burn trade expression: weaker software names and listed credit proxies may underperform well before the default cycle fully crests. [11][13]

Data box	Interpretation
Selected numbers	SaaS direct lending grew from about \$8bn in 2015 to more than \$500bn by end-2025; SaaS was about 19% of total direct loans; high-SaaS-exposure BDCs underperformed peers by roughly 5 percentage points after the Oct. 2025 turn. [10]
Why AI matters here	AI is not only a valuation story. It can change renewal assumptions, competitive moats, pricing power, and the refinance path for indebted software issuers. [11][12]
Why the stress may lag	Only a small share of software loans mature this year, so the trade can express as underperformance and widening discounts before defaults fully show up. [11][13]

6. Why this is not automatically 2008 again

The right way to think about this regime is asymmetric stress, not lazy crisis analogies. The public evidence supports broad repricing pressure and pockets of liquidity management, but it does not yet support the strongest 'everything breaks now' version of the story. [13][15]

Consideration	Implication
Why the thesis should not be exaggerated	Private-credit loans are often senior secured; direct lenders can amend terms; maturity pressure is staggered; and officials do not currently describe the sector as systemically destabilizing. [8][13][15]
Why complacency is still dangerous	The asset class is now large, increasingly retail-adjacent, interconnected with banks, concentrated in software exposure, and facing both higher funding costs and redemption pressure. Slow-burn systems can still generate violent mark-to-market moves in public proxies. [10][12][14][20]
Practical implication	The highest-conviction setup is repricing and dispersion rather than a binary collapse bet. Use liquid instruments that can absorb headline reversals and tighten risk if the de-escalation path opens. [19]

7. Historical context and analogs

No historical analog is exact. The useful comparison is a composite: the 1970s explains the inflation bind, 1994 explains rate-path pain, and 2000-02 explains what happens when a favored sector loses access to cheap financing and easy narratives. [16][17][18]

Figure 3. Historical analogs

What previous oil, rate, and narrative-credit episodes suggest for 2026

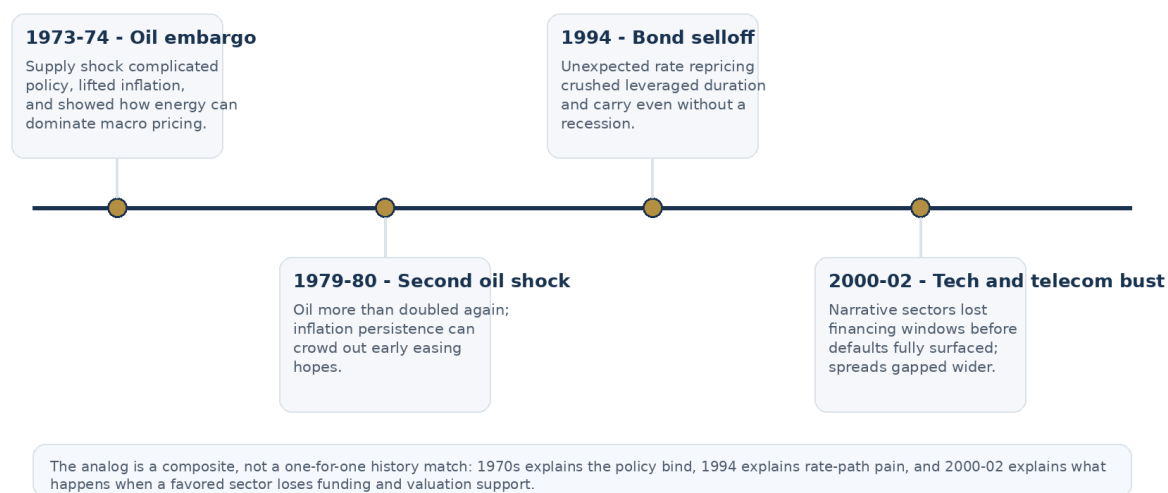


Figure 3. The useful analog is a composite: oil shock + rates shock + narrative-sector credit unwind.

Episode	Parallel	Lesson
1973-74 oil embargo	Supply shock lifted inflation and constrained policy choices. [16]	Energy can dominate macro pricing even when it is not demand-led.
1979-80 second oil shock	Oil more than doubled again and inflation persistence intensified. [16]	A second leg in energy stress can crowd out hopes for quick easing.

Episode	Parallel	Lesson
1994 bond selloff	Rate-path repricing produced major mark-to-market losses in duration-heavy portfolios. [17]	You do not need a recession to hurt carry, duration, and crowded consensus trades.
2000-02 tech and telecom bust	Narrative sectors lost funding access, spreads blew out, and negative-earnings firms ran out of runway. [18]	When a favored sector loses both valuation support and financing, credit pain can lag but still be severe.

8. Scenario framework

These probabilities are subjective and heuristic. Their value is not precision; it is forcing a trader to pre-think the flip points before the tape gets emotional.

Figure 2. Scenario map and posture

Subjective scenario framework for the next trading phase

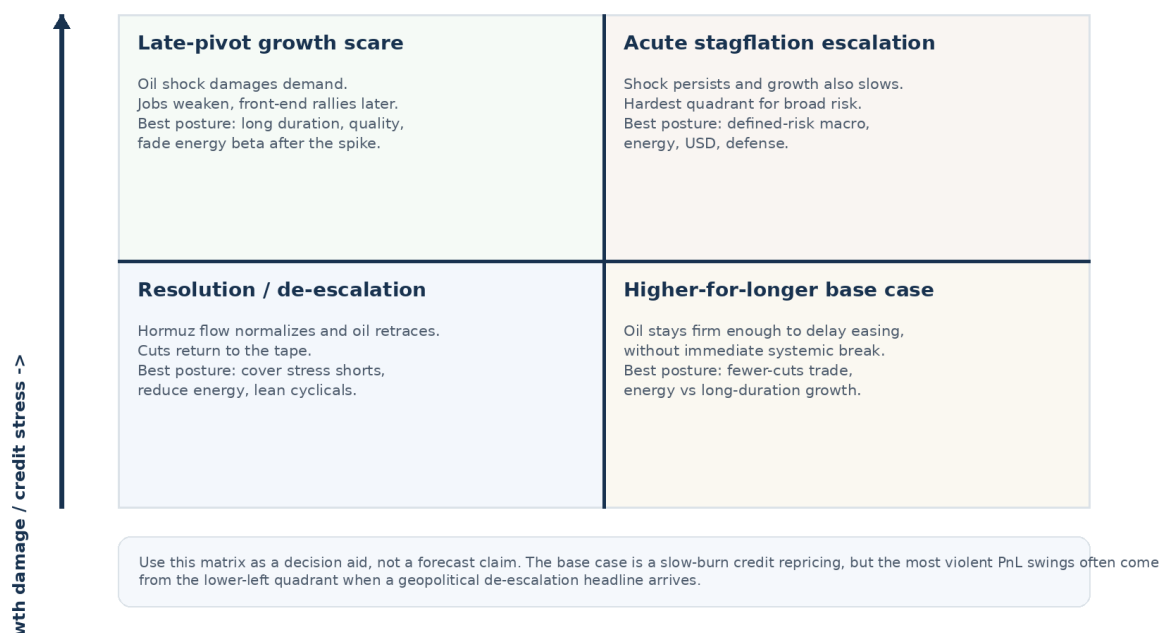


Figure 2. Scenario map used to decide whether to press the inflation phase, flip to the growth phase, or step aside.

Scenario	Subjective probability	Core condition	Likely market map	Preferred posture
Higher-for-longer base case	45%	Oil stays firm enough to keep near-term cuts out of the tape, but not high enough to cause immediate systemic breakage.	Front-end cuts are repriced, energy outperforms, software/BDC proxies lag, spreads widen gradually.	Core expression: fewer cuts, energy versus long-duration growth, selective public credit shorts.
Acute stagflation escalation	20%	Oil persists above current levels and growth also slows; inflation remains a problem.	Risk assets struggle broadly, USD and defense outperform, credit stress intensifies.	Use defined-risk macro, keep gross lower, add quality and defensive overlays.

Scenario	Subjective probability	Core condition	Likely market map	Preferred posture
Late-pivot growth scare	20%	The shock hits demand hard; labor weakens enough that the market begins pricing a later rescue.	After an initial inflation scare, duration rallies and energy beta fades.	Be ready to flip from fewer-cuts to duration and quality. Do not marry the first phase.
Resolution / de-escalation	15%	Hormuz flow normalizes or shock fears fade quickly.	Oil retraces, cuts return to the tape, stress shorts squeeze.	Cover energy and credit stress legs aggressively; rotate toward cyclicals and quality growth.

9. Trading playbook

The playbook is intentionally built around liquid or listed expressions. That makes it easier to manage headline risk, to hedge, and to reverse when the regime changes.

Module 1 - Rates: trade the repricing of cuts

Template field	Execution guidance
Core thesis	If energy pushes inflation expectations higher while labor stays resilient, the market should reduce near-term easing bets before it prices a growth rescue.
Best expressions	Front-end rates futures or options, payer structures, short-duration underweights, or relative curve positions where you can define risk cleanly.
Entry triggers	Oil breaks higher and holds; payrolls or inflation data remain firm; Fed speakers emphasize inflation risk over growth rescue. [2][4][6][7]
Confirmations	2-year yields rise, breakevens widen, the dollar firms, and long-duration growth underperforms energy.
Invalidation	Oil retraces quickly, labor cracks, and the front-end rallies on a late-pivot growth scare. [19]
Risk control	Use staged entries and event-aware sizing. The front-end can reverse violently on one de-escalation headline.
Exit logic	Take profits into clear de-escalation or when the market starts shifting from inflation fear to growth fear.

Module 2 - Relative equities: energy versus long-duration growth

Template field	Execution guidance
Core thesis	Persistent energy stress and a higher discount-rate path favor cash-flow-near energy and hurt long-duration growth, especially weaker software.
Best expressions	Relative-value books: long energy producers or energy indices versus long-duration growth, software, or the most rate-sensitive equity segments.
Entry triggers	Oil curve tightens, software underperforms on volume, and rates move up with inflation expectations rather than with stronger real growth.
Confirmations	Energy breadth improves, software revisions worsen, and public private-credit or BDC proxies start lagging.
Invalidation	A fast de-escalation or sharp labor deterioration that sends yields lower and supports duration. [19]
Risk control	Run the book as a spread, not as two unrelated outright bets. That helps avoid broad market beta dominating the thesis.
Exit logic	Scale out if oil normalizes or if the market rotates toward duration and quality growth.

Module 3 - Credit stress through public proxies

Template field	Execution guidance
Core thesis	Private-credit pain is hard to short directly, so the trade should flow through listed BDCs, alternative asset managers, loan funds, and liquid credit indices.
Best expressions	Selective underweight or short exposure to listed BDCs, software-heavy credit proxies, or liquid credit protection where accessible.
Entry triggers	Redemption caps, wider SPV financing spreads, rising PIK reliance, larger discounts to NAV, or softer software earnings guidance. [12][13][14][20]
Confirmations	Analyst downgrades, NAV discount widening versus peers, and negative price action that persists even when the broad market stabilizes.
Invalidation	Funding terms improve, caps are removed, or valuations already discount worse outcomes than the data justify.
Risk control	Favor options or baskets. Individual names can squeeze hard and marks can be sticky.

Template field	Execution guidance
Exit logic	Reduce exposure when the market transitions from opacity fear to visible-but-manageable loss recognition.

Module 4 - Quality, USD, and defense overlays

Template field	Execution guidance
Core thesis	When the regime tilts toward stagflation, balance-sheet quality and liquidity usually matter more than deep-value narratives.
Best expressions	Quality equities, stronger balance sheets, defensive sectors, cash-rich franchises, and USD strength versus weaker pro-cyclical exposures.
Entry triggers	Credit spreads widen alongside oil; lower-quality cyclicals fail to confirm macro rebounds.
Confirmations	Leadership narrows to quality, defensive earnings revisions hold up better, and weaker credits underperform even on up days.
Invalidation	Broad de-escalation or a clean growth-reacceleration that broadens leadership.
Risk control	Use the overlay to cut portfolio fragility rather than to chase a separate macro narrative.
Exit logic	Remove the overlay gradually as policy easing becomes plausible again.

Module 5 - Reversal module: know when to flip

Template field	Execution guidance
Core thesis	Many traders get the first phase right and the second phase wrong. Oil shocks often begin as inflation scares but can morph into demand shocks.
Best expressions	Long duration, higher-quality growth, or closing out energy and stress shorts when growth damage overtakes inflation fear.
Entry triggers	Oil stabilizes or falls, payrolls miss, unemployment rises, and the 2-year yield starts dropping on bad growth news rather than on calming geopolitics.
Confirmations	Energy leadership breaks, duration rallies, and credit still lags even as the broad index recovers.
Invalidation	Inflation remains sticky enough that cuts cannot be repriced back in.

Template field	Execution guidance
Risk control	Do not flip all at once. The transition from stagflation scare to growth scare is noisy.
Exit logic	Add to the reversal only after the macro tape shows repeated evidence that growth is now dominating the reaction function.

Module 6 - Optionality and event structure

Template field	Execution guidance
Core thesis	This regime is headline-sensitive. Options are often a cleaner way to express it than large linear positions into event windows.
Best expressions	Event-dated options around FOMC, CPI, payrolls, major geopolitical weekends, and company reporting for exposed software or credit proxies.
Entry triggers	When implied volatility is still cheaper than the likely gap risk or when the directional thesis is strong but the path is uncertain.
Confirmations	Crowded positioning, rising cross-asset correlation, and headline risk that can break normal technical levels.
Invalidation	If realized volatility compresses and the thesis is moving from event-driven to slow trend.
Risk control	Avoid paying up blindly for convexity. Time the structure around catalysts.
Exit logic	Monetize gamma quickly if the catalyst lands; do not assume second-order headlines will keep paying the same options.

10. Risk management and implementation

Rule	Why it matters
Use liquid expressions first	Private credit itself is illiquid and hard to price in real time. Listed proxies, rates, energy, and options are usually better vehicles.
Separate regime and catalyst risk	A core macro view can be right while a single headline stops you out. Size structural positions smaller than you think and reserve risk budget for event additions.
Assume correlation rises in stress	Energy longs, software shorts, and credit hedges can all become the same trade if the driver is higher real and nominal rates. Gross up carefully.

Rule	Why it matters
Stage entries and exits	Because the thesis unfolds through fast and slow channels, building the position in tranches is usually superior to one-shot entry.
Define invalidation before entry	Know in advance what would prove the thesis wrong: oil normalization, softer labor/inflation, better software guidance, or easing redemption pressure.
Prefer asymmetry near catalysts	When the tape is headline-driven, defined-risk structures are often more robust than linear risk.

Implementation sequence

Step 1: identify whether the market is in an inflation-scare phase or a growth-scare phase. Step 2: start with the core macro leg, usually rates or energy. Step 3: only then add the sector or credit-dispersion leg. Step 4: protect against de-escalation with explicit exits or defined-risk structures. Step 5: reassess after every major payroll, CPI, FOMC, or geopolitical weekend.

11. Monitoring dashboard

A trader should not monitor this thesis with one chart. The checklist below deliberately mixes macro, credit, equity, and headline indicators so the regime can be triangulated rather than guessed.

Indicator	Bullish for the thesis	Why it matters
Brent and WTI spot plus front-month spread	Higher highs, tighter front curve, and persistent backwardation	Fastest check on whether the energy shock is intensifying or fading
2-year Treasury yield and Fed funds futures	Rising 2-year yield and fewer cuts priced	Best real-time proxy for the 'lost excuse to cut' claim
Breakevens and inflation expectations	Wider inflation compensation	Separates inflation scare from pure growth scare
Payrolls, unemployment, CPI, and core PCE	Labor still resilient; inflation sticky	Tells you whether the Fed path can stay higher for longer
HY OAS, loan prices, and liquid credit indices	Wider spreads and weaker loan pricing	Confirms transmission from macro to credit
Listed BDC discounts to NAV	Discounts widen versus own history and peers	Public window into private-credit mark and liquidity stress
Software relative strength	Software underperforms broad tech and energy	Tests whether the sector weak point is active
PIK, funding, and redemption headlines	More PIK reliance, tougher financing, more withdrawal limits	Core stress indicators inside the private stack
Geopolitical shipping updates	Any sign of reopened flows, exemptions, or de-escalation	Key invalidation and squeeze risk [19]

12. Invalidation triggers

- Durable normalization of Hormuz traffic and a meaningful retracement in oil.
- A clear softening in labor or inflation that reopens the path to earlier Fed cuts.
- Evidence that software demand and pricing power are holding up better than feared despite AI pressure.
- Stabilization in BDC discounts, softer redemption requests, or improved financing terms for private-credit funds.
- A policy backstop, rerouting solution, or producer response that reduces the supply-shock impulse.

Most important tactical risk

The fastest way to lose money on this theme is to confuse a directionally correct medium-term thesis with a clean day-to-day path. If Hormuz headlines improve quickly, the squeeze can be violent because energy, rates, and credit-stress trades are all crowded in the same direction. [19]

13. Conclusion

The thesis embedded in the linked short deserves to be taken seriously, but not literally. The best research-based version is this: a Hormuz-driven energy shock can keep the Fed tighter for longer, that tighter path can pressure a large floating-rate private-credit universe, and the weakest point inside that universe is software credit being re-underwritten in an AI-disrupted market. The base case is a slow-burn repricing with wider spreads, lower multiples, weaker listed private-credit proxies, and periodic redemption caps - not an automatic system-wide collapse. That is why the playbook emphasizes liquid expressions, staged risk, and a disciplined reversal plan if the regime flips from inflation scare to growth scare. In practical trading terms: treat this as a macro-credit dispersion opportunity with headline risk, not a single heroic doomsday bet.

Appendix A. Research method

This document was built from public-source research across Federal Reserve materials, EIA transit data, BIS analysis, Reuters reporting from late February through early April 2026, and selected historical Fed/BIS references. The goal was to pressure-test the thesis behind the linked short rather than to repeat it.

Because the short itself could not be fetched directly in this environment, the topic was inferred from the thumbnail text and matching public snippets describing the same causal chain. That limitation is material, so the report keeps separate what is strongly supported, what is partly supported, and what remains speculative. [1]

The playbook was then organized around the liquid markets most likely to express the thesis first: front-end rates, energy, long-duration growth, listed private-credit proxies, and quality/risk overlays.

Appendix B. Selected references

- [1] Linked YouTube Short thumbnail and matching public cross-post snippet describing Hormuz, floating-rate borrowers, AI pressure on revenue, and private-credit redemption caps. Accessed April 2026.
- [2] Federal Reserve. FOMC Statement. March 18, 2026.
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- [4] U.S. labor data and Reuters coverage of the March 2026 jobs report, including 178,000 payroll growth and 4.3% unemployment. April 2026.
- [5] U.S. Energy Information Administration. World oil transit chokepoints and Strait of Hormuz flow estimates for 2024. Accessed April 2026.
- [6] Reuters reporting on early-April 2026 oil prices and JPMorgan's scenario analysis for Brent if disruption persists.

- [7] Reuters reporting on policy implications from New York Fed and Dallas Fed officials as oil prices rose in late March and early April 2026.
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- [11] Reuters reporting on AI disruption risk to software loans and the concentration of technology borrowers in leveraged loans versus high-yield bonds. February 23, 2026.
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- [20] Reuters reporting across March-April 2026 on withdrawal caps or elevated redemption requests at major private-credit vehicles including Blue Owl, Apollo, BlackRock, Blackstone, and KKR.